Singapore Company Update

OCBC

Bloomberg: OCBC SP | Reuters: OCBC.SI

Refer to important disclosures at the end of this report

DBS Group Research . Equity

13 May 2025

HOLD

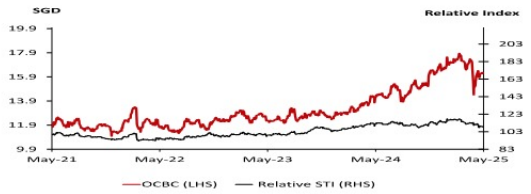
Last Traded Price (9 May 2025): SGD16.23 (STI : 3,876.16)
Price Target 12-mth: SGD14.40 (11% downside)

Analysts
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What's New

- 1Q25 net profit beat consensus, as strong non-interest income growth offset decline in net interest income
- NIM decline accelerated from 4Q24 to 11bps q/q
- Management maintained FY25F guidance and reaffirmed its commitment to capital management plans
- Maintain HOLD, TP SGD14.40

Price Relative



Forecasts and Valuation

FY Dec (SGD mn)	2023A	2024A	2025F	2026F
Pre-prov. Profit	8,181	8,672	8,421	8,182
Net Profit	7,021	7,587	7,374	7,276
Net Pft (Pre Ex.)	7,021	7,587	7,374	7,276
Net Pft Gth (Pre-ex) (%)	27.1	8.1	(2.8)	(1.3)
EPS (S cts)	156	169	164	162
EPS Pre Ex. (S cts)	156	169	164	162
EPS Gth Pre Ex (%)	27	8	(3)	(1)
Diluted EPS (S cts)	156	169	164	162
PE Pre Ex. (X)	10.4	9.6	9.9	10.0
Net DPS (S cts)	83.1	101.7	87.3	86.1
Div Yield (%)	5.1	6.3	5.4	5.3
ROAE Pre Ex. (%)	13.3	13.4	12.1	11.3
ROAE (%)	13.3	13.4	12.1	11.3
ROA (%)	1.3	1.3	1.2	1.1
BV Per Share (S cts)	1,205	1,320	1,397	1,473
P/Book Value (x)	1.3	1.2	1.2	1.1
Earnings Rev (%):			0	0
Consensus EPS (S cts):			164	168
Other Broker Recs:		B: 9	S: 0	H: 9

Source of all data on this page: Company, DBS, Bloomberg

NIM decline accelerates

Investment Thesis:
OCBC launched a refreshed strategy to accelerate its growth trajectory across Asia. Through its four growth pillars (capture rising Asian wealth, support increasing trade and investment flows, unlock value from new economy through digitisation, and drive sustainability), OCBC aims to achieve an incremental SGD3bn in cumulative revenue and positive JAWs in 2023-2025 to achieve ~13%-14% ROE by 2025. Currently, OCBC's shareholding in GEH has risen to 93.72% (July 2024: 93.52%). GEH has been given an extension till May 2025 to comply with the free-float rule.

Sequential impact from an escalating trade war environment, with further capital management plans likely on hold. We believe there are downside risks to earnings in an escalating trade war environment given the huge and broad US tariffs. Management has reiterated a 60% total dividend payout ratio, combined with share buybacks as part of the SGD2.5bn capital return over a two-year period. We believe a further advancement in capital plans is unlikely for now, pending the outcome of the GEH privatisation.

Downside risks from asset quality cushioned by high non-performing loan (NPL) coverage ratio. We remain watchful of asset quality risks in a slower global growth environment amidst concerns of accelerating Fed cuts, on top of the weak commercial real estate (CRE) sector.

Maintain HOLD, TP SGD14.40. Our TP is based on the Gordon Growth Model (12% ROE, 3% growth, and 12% cost of equity). Our TP represents ~1.0x FY26F, below OCBC's historical 12-year average P/BV (one-year forward). We believe this is a fair valuation with limited catalysts ahead for the share price. Downside to OCBC's share price will be supported by its strong NPL coverage ratio of 162%.

Key Risks
Deteriorating asset quality. Higher-than-expected NPLs, high inflationary pressure, and recessionary risks could unwind expectations for credit cost and NPL declines, thus posing risks to earnings.

Fed cuts. Faster-than-expected Fed cuts also pose downside risks to our earnings estimates.

At A Glance

Issued Capital (mn shrs)	4,499
Mkt. Cap (SGDmn/USDmn)	73,021 / 56,187
Major Shareholders (%)	
Selat Pte Ltd	14.5
Free Float (%)	85.5
3m Avg. Daily Val (USDmn)	104.7
GIC Industry : Financial / Banks	

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ed: JS/ sa: DT, PY, CS

WHAT'S NEW

1Q25 revenue and net profit beat consensus

1Q25 revenue and net profit beat consensus. OCBC reported 1Q25 revenue of SGD3,655mn (+1% y/y, +7% q/q), while net profit came in at SGD1,883mn (–5% y/y, +12% q/q). Operating expenses grew 5% y/y, declining 9% q/q to SGD1,415mn, normalising from the previous quarter's spike, driven by higher investments incurred to support strategic initiatives and business growth. This resulted in a lower cost-to-income ratio of 38.7% (4Q24: 45.7%). Capital ratios remained robust, with CET1 at 17.6% (4Q24: 17.1%) while total capital adequacy ratio was 20.2% (4Q24: 19.7%). Net interest income was SGD2,345mn (-4% y/y, -4% q/q) as 3% average asset growth was more than offset by an 11bps decline in net interest margin (NIM) to 2.04% and the impact of a shorter quarter.

Higher non-interest income driven by broad-based growth. Non-interest income rose 10% y/y, 36% q/q to SGD1,310mn, underpinned by broad-based growth in wealth-related fees, trading income, and insurance income. Net fees and commissions came in at SGD546mn (+14% y/y, +6% q/q), driven by increased customer activity, which boosted wealth management, brokerage and fund management, as well as loan-related and investment banking fees. Trading income surged 7% y/y, 31% q/q to SGD396mn due to higher customer and non-customer treasury flows. GEH contributed SGD306mn (+6% y/y, +201% q/q), largely due to better underlying insurance performance in 1Q25 and the negative impact from changes in the medical insurance environment in GEH's key markets recognised in 4Q24.

1Q25 saw higher credit costs of 24bps (4Q24: 21bps) driven by allowances for non-impaired assets. Total allowances of SGD212mn, 24bps (4Q24: SGD208mn, 21bps) included general allowances (stage 1+2): SGD118mn, 13bps (4Q24: SGD53mn, 6bps) and specific allowances (stage 3): SGD94mn, 11bps (4Q24: SGD155mn, 15bps). The NPL ratio remained unchanged at 0.9%, with allowance coverage improving to 162% (4Q24: 159%).

Management maintained its FY25F guidance and reaffirmed its commitment to capital management plans. Management expects NIM in the region to decline to 2% as the bank continues to anticipate three rate cuts in 2025. Management continues to project FY25F loan growth to be in the mid-single digits, with the cost-to-income ratio (CIR) in the low 40s and credit costs within the range of 20-25bps. Management has also reaffirmed its commitment to a 60% total dividend payout ratio and share buybacks as part of the SGD2.5bn capital return over a two-year period.

Takeaways from management briefing:
Tariffs impact: The first order of trade tariffs are estimated to directly impact ~3% of the bank's loan portfolio, primarily in manufacturing, international logistics, and raw material trade within the corporate and commercial segments, as per management's assessment. Around two-thirds of the loan book is exposed to sectors such as real estate, data centres, renewable energy, and domestic business, which are less affected. Trade loans account for 10% of the total loan book, while SME accounts for 9%.

NIM: Exit NIM was 2.03% (1Q25 NIM: 2.04%). For every 1bps change in the interest rate applicable to OCBC's four major currencies, NII will be impacted by ~SGD4-5mn (previous: SGD4-5mn). Treasury market NIM saw less of an improvement relative to other banks, as the SGD12bn deposit inflows in 1Q25 were largely deployed into liquid assets, as per the group's strategy. Following the Fed rate cut in 4Q24, deposit inflow was only 4% in November, vs. over 30% in December, resulting in commercial NIM compression.

Loans: Management noted that its FY25F loan growth guidance may face more headwinds. Most of OCBC's loans, other than Singapore residential mortgages, are on floating rates. Fixed-rate loans are primarily concentrated in the Singapore mortgage portfolio, with around 20% of the Singapore loan book on fixed rates. Majority of USD and HKD loans are on floating rates, with only 3%-5% on fixed rates.

Non-interest income: Wealth management fees was driven by stronger client activity in private banking and unit trusts. Net new money in 1Q25 stood at SGD5bn, 60% of assets under management (AUM) deployed across all wealth channels. Investment activity to AUM in retail banking was ~40% while that in Bank of Singapore was slightly above 70%.

Asset quality: Management considers the 0.9% allowance for non-impaired performing loans appropriate and will continue monitoring. Hong Kong CRE remains an area that warrants closer attention as it continues to face pressure. OCBC has been actively engaging with clients to manage and reduce exposures, particularly within the medium-sized commercial segment. The remaining CRE exposure is largely to well-rated, larger corporate clients, which should translate to a minimal impact on overall NPL.

Acquisitions: The bank continues to see opportunities, including a recent proposal for an investment bank in Hong Kong. Any

potential acquisition must align with the group's positioning, client base compatibility, and integration capabilities. Management reiterated its preference for acquiring portfolios over entire entities.

Company Background

The OCBC Bank group of businesses (OCBC) comprises a family of companies owned by Singapore's longest established local bank.

Quarterly / Interim Income Statement (SGDmn)

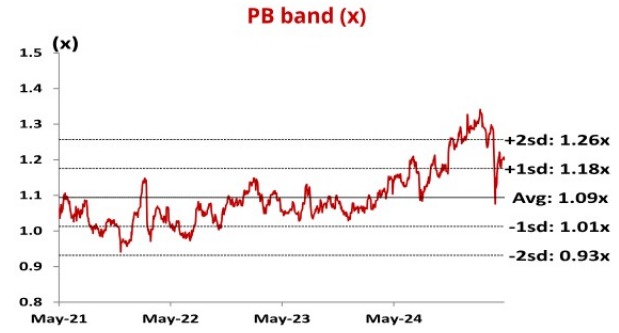
FY Dec	1Q2024	4Q2024	1Q2025	% chg y/y	% chg q/q
Net Interest Income	2,437	2,455	2,345	(3.8)	(4.5)
Non-Interest Income	1,189	961	1,310	10.2	36.3
Operating Income	**3,626**	**3,416**	**3,655**	**0.8**	**7.0**
Operating Expenses	(1,371)	(1,565)	(1,420)	3.6	(9.3)
Pre-Provision Profit	**2,255**	**1,851**	**2,235**	**(0.9)**	**20.7**
Provisions	(169)	(208)	(212)	25.4	1.9
Associates	255	245	274	7.5	11.8
Exceptionals	0.0	0.0	0.0	-	-
Pretax Profit	**2,341**	**1,888**	**2,297**	**(1.9)**	**21.7**
Taxation	(359)	(201)	(414)	15.3	106.0
Minority Interests	0.0	0.0	0.0	-	-
Net Profit	**1,982**	**1,687**	**1,883**	**(5.0)**	**11.6**
Growth (%)					
Net Interest Income Gth	(1.0)	0.9	(4.5)		
Net Profit Gth	22.2	(14.5)	11.6		
Key ratio (%)					
NIM	2.3	2.2	2.2		
NPL ratio	1.0	0.9	0.9		
Loan-to deposit	80.3	80.7	78.9		
Cost-to-income	37.1	45.7	38.7		
Total CAR	18.4	19.7	20.2		

Source of all data: Company, DBS

Historical PE and PB band



Source: Bloomberg, DBS estimates



Source: Bloomberg, DBS estimates

Key Assumptions

FY Dec	2022A	2023A	2024A	2025F	2026F
Gross Loans Growth	1.8	0.6	7.6	5.9	5.0
Customer Deposits Growth	2.2	3.9	7.4	4.0	5.0
Yld. On Earnings Assets	2.9	4.9	5.1	4.5	4.3
Avg Cost Of Funds	1.0	2.8	3.1	2.5	2.4

Income Statement (SGD mn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Net Interest Income	7,688	9,645	9,755	9,419	9,319
Non-Interest Income	3,598	3,862	4,718	5,032	5,133
Operating Income	**11,286**	**13,507**	**14,473**	**14,452**	**14,452**
Operating Expenses	(4,942)	(5,326)	(5,801)	(6,031)	(6,270)
Pre-provision Profit	**6,344**	**8,181**	**8,672**	**8,421**	**8,182**
Provisions	(584)	(733)	(690)	(673)	(662)
Associates	910	953	994	1,093	1,203
Exceptionals	0	0	0	0	0
Pre-tax Profit	**6,670**	**8,401**	**8,976**	**8,841**	**8,723**
Taxation	(1,031)	(1,236)	(1,228)	(1,308)	(1,291)
Minority Interests	(113)	(144)	(161)	(159)	(156)
Preference Dividend	0	0	0	0	0
Net Profit	**5,526**	**7,021**	**7,587**	**7,374**	**7,276**
Net Profit before Except.	5,526	7,021	7,587	7,374	7,276
Growth (%)					
Net Interest Income Gth	31.3	25.5	1.1	(3.4)	(1.1)
Net Profit Gth bef Except	13.8	27.1	8.1	(2.8)	(1.3)
Margins, Costs & Efficiency (%)					
Spread	1.9	2.1	2.0	1.9	1.8
Net Interest Margin	1.9	2.3	2.2	2.0	1.9
Cost-to-Income Ratio	39.1	35.4	36.5	39.2	40.8
Business Mix (%)					
Net Int. Inc / Opg Inc.	68.1	71.4	67.4	65.2	64.5
Non-Int. Inc / Opg inc.	31.9	28.6	32.6	34.8	35.5
Fee Inc / Opg Income	16.4	13.4	13.6	14.8	15.8
Oth Non-Int Inc/Opg Inc	15.5	15.2	19.0	20.0	19.7
Profitability (%)					
ROAE Pre Ex.	10.6	13.3	13.4	12.1	11.3
ROAE	10.6	13.3	13.4	12.1	11.3
ROA Pre Ex.	1.0	1.3	1.3	1.2	1.1
ROA	1.0	1.3	1.3	1.2	1.1

Source: Company, DBS

Quarterly / Interim Income Statement (SGD mn)

FY Dec	1Q2024	2Q2024	3Q2024	4Q2024	1Q2025
Net Interest Income	2,437	2,430	2,433	2,455	2,345
Non-Interest Income	1,189	1,199	1,369	961	1,310
Operating Income	**3,626**	**3,629**	**3,802**	**3,416**	**3,655**
Operating Expenses	(1,371)	(1,395)	(1,470)	(1,565)	(1,420)
Pre-Provision Profit	**2,255**	**2,234**	**2,332**	**1,851**	**2,235**
Provisions	(169)	(144)	(169)	(208)	(212)
Associates	255	243	251	245	274
Exceptionals	0	0	0	0	0
Pretax Profit	**2,341**	**2,333**	**2,414**	**1,888**	**2,297**
Taxation	(359)	(389)	(440)	(201)	(414)
Minority Interests	0	0	0	0	0
Net Profit	**1,982**	**1,944**	**1,974**	**1,687**	**1,883**
Growth (%)					
Net Interest Income Gth	(1.0)	(0.3)	0.1	0.9	(4.5)
Net Profit Gth	22.2	(1.9)	1.5	(14.5)	11.6

Balance Sheet (SGD mn)

FY Dec	2022A	2023A	2024A	2025F	2026F
Cash/Bank Balance	34,966	34,286	34,599	35,983	37,782
Government Securities	39,367	45,630	44,685	46,472	48,331
Inter Bank Assets	30,244	38,051	42,407	33,327	34,957
Total Net Loans & Advs.	291,467	292,754	315,096	333,271	349,575
Investment	28,010	36,591	43,413	45,991	48,241
Associates	6,353	7,003	8,153	9,246	10,449
Fixed Assets	4,246	4,251	4,400	4,400	4,620
Goodwill	4,643	4,501	4,504	4,504	5,160
Other Assets	22,631	20,840	25,502	26,662	24,470
Life Ass Fund Inv Assets	94,997	97,517	102,291	108,428	112,766
Total Assets	**556,924**	**581,424**	**625,050**	**648,286**	**676,352**
Customer Deposits	350,081	363,770	390,687	406,314	426,630
Inter Bank Deposits	10,046	10,884	11,565	12,424	11,059
Debts/Borrowings	21,938	26,553	31,553	31,553	31,553
Others	26,225	25,019	27,933	27,970	28,208
Minorities	1,308	1,384	1,064	1,223	1,379
Shareholders' Funds	51,117	54,170	59,316	62,782	66,201
Life Ass Fund Liabs	96,209	99,644	102,932	106,020	111,321
Total Liab& S/H's Funds	**556,924**	**581,424**	**625,050**	**648,286**	**676,352**

Source: Company, DBS

Financial Stability Measures (%)

FY Dec	2022A	2023A	2024A	2025F	2026F
Balance Sheet Structure					
Loan-to-Deposit Ratio	83.3	80.5	80.7	82.0	81.9
Net Loans / Total Assets	52.3	50.4	50.4	51.4	51.7
Investment / Total Assets	5.0	6.3	6.9	7.1	7.1
Cust . Dep./Int. Bear. Liab.	91.6	90.7	90.1	90.2	90.9
Interbank Dep / Int. Bear.	2.6	2.7	2.7	2.8	2.4
Asset Quality					
NPL / Total Gross Loans	1.1	0.9	0.9	1.8	1.8
NPL / Total Assets	0.6	0.5	0.5	0.9	0.9
Loan Loss Reserve Coverage	103.8	139.0	144.0	75.5	80.0
Provision Charge-Off Rate	0.2	0.2	0.2	0.2	0.2
Capital Strength					
Total CAR	17.7	18.1	19.7	20.2	18.8
Tier-1 CAR	15.2	15.9	17.1	17.6	16.6

Source: Company, DBS

Target Price & Ratings 12-mth History



S.No.	Date of Report	Closing Price	12-mth Target Price	Rating
1:	13 May 24	14.28	14.90	HOLD
2:	06 Aug 24	13.84	14.90	HOLD
3:	08 Nov 24	16.06	16.10	HOLD
4:	27 Feb 25	17.37	17.60	HOLD
5:	08 Apr 25	14.81	14.40	HOLD

***Note** : Share price and Target price are adjusted for corporate actions.*

Source: DBS

Analysts: Rui Wen LIM

Singapore Research Team

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STRONG BUY (>20% total return over the next 3 months, with identifiable share price catalysts within this time frame)
BUY (>15% total return over the next 12 months for small caps, >10% for large caps)
HOLD (-10% to +15% total return over the next 12 months for small caps, -10% to +10% for large caps)
FULLY VALUED (negative total return, i.e., > -10% over the next 12 months)
SELL (negative total return of > -20% over the next 3 months, with identifiable share price catalysts within this time frame)

**Share price appreciation + dividends*

Completed Date: 13 May 2025 02:33:30 (SGT)
Dissemination Date: 13 May 2025 07:02:03 (SGT)

Sources for all charts and tables are DBS unless otherwise specified.

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